



Private Credit Stress Testing: The First Real Cycle

A credit analyst's read on defaults, recoveries, spreads and liquidity, and where the market has the risk priced wrong



MARKET BRIEFING, CREDIT ANALYSIS

July 2026, Private and Confidential

Table of contents

Executive summary and house view	01
Market context	02
Default rates and DPI ratios	03
What the headline default rate hides	04
Semi liquid fund redemptions	05
Stress scenario analysis	06
Conclusion	07
Appendix, references and glossary	08



Executive summary and house view

For a decade, private credit was the market that never broke. In 2026 it is being tested on defaults, recoveries and liquidity at the same time. What follows is our read as credit analysts, not a summary of the headlines.

6.0

PERCENT

Fitch default rate

The broad measure, a record high in April 2026. The narrower Proskauer index reads 2.73 percent. Both are correct.

3.3

TIMES

Downgrades to upgrades

Early 2026, with downgrade volume up about 50 percent on the year. Most upgrades are defaulted names re-rated, not recoveries.

48 to 64

CENTS

Recovery range

Conflicting first-lien recovery estimates on the dollar. The data is immature and points both ways.

S + 450

BASIS POINTS

Unitranche spreads

Near record tight for core mid market, against an 8 to 10 percent historical return. Little cushion left.

The headline is repricing, not rupture. Default measures are climbing, ratings are migrating down, and semi liquid funds are gating redemptions, but the losses so far are idiosyncratic and the banking system's exposure is senior and small. First Brands and Tricolor were frauds built on double pledged collateral, not a read on the credit cycle.

The real signal is subtler, and it sits in three places the headline default rate does not capture: recoveries that are unproven and already conflicting, payment in kind and amend and extend that delay when stress shows up in cash, and spreads that have compressed to levels that no longer pay for the risk in the 2021 and 2022 back book. That combination, not the default count, is what separates this from an ordinary turn in the cycle.

OUR HOUSE VIEW

Constructive on private credit as an asset class; cautious on where the risk now sits. We would stay senior, underweight the 2021 to 2022 vintages and consumer facing borrowers, and treat semi liquid wrappers as illiquid until proven otherwise. The coupon is no longer compensation enough on its own. Underwriting quality and liquidity terms are what to price from here.

Risk barometer, where each pressure sits today

Defaults	Elevated
Rating trend	Elevated
Liquidity	High
Recoveries	Uncertain
Systemic risk	Contained

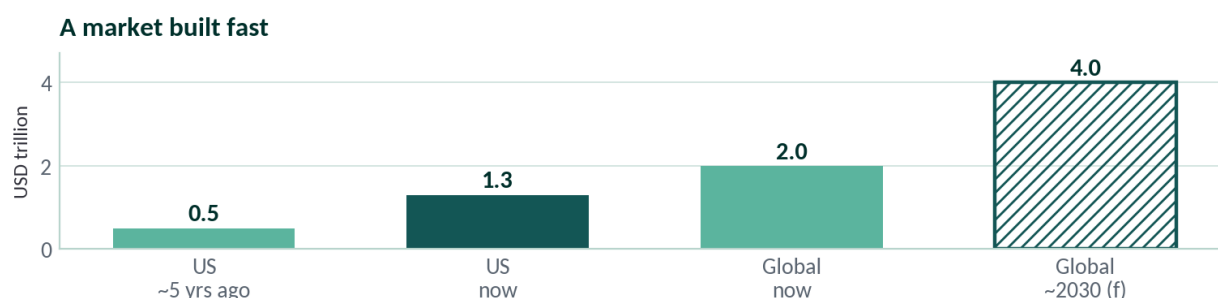
Market context

The loans under stress today were written in a different world. That is the single most important fact about this cycle.

Period	Phase	What happened
2019 to 2021	Origination boom	Ultra low rates and record dry powder competed covenant protection away. A large share of the vintage was written covenant lite, at full leverage, on the assumption that rates would stay low.
2022 to 2023	Rate shock	Around 500 basis points of tightening roughly tripled the cash cost of floating rate debt, cutting directly into interest coverage across mid market borrowers just as growth slowed.

2024 to 2025	First cracks	Payment in kind toggles rose, amend and extend became routine, and some funds trimmed dividends. First Brands and Tricolor failed in September 2025 on fraud, not fundamentals, but exposed how thin diligence had become.
2026	Inflection	Downgrades ran 3.3 times upgrades, default measures reached post inception highs, and redemption gates went up. The first real test of the asset class across defaults, liquidity and valuations at once.

The scale is the backdrop. United States private credit expanded from roughly 500 billion dollars to about 1.3 trillion over five years, and the global market now sits near 2 trillion, with forecasts pointing toward 4 trillion by the end of the decade. A market that large, built largely in a low rate era and sold partly to retail investors through semi liquid wrappers, was always going to behave differently in its first downturn than the club deals of a decade ago.



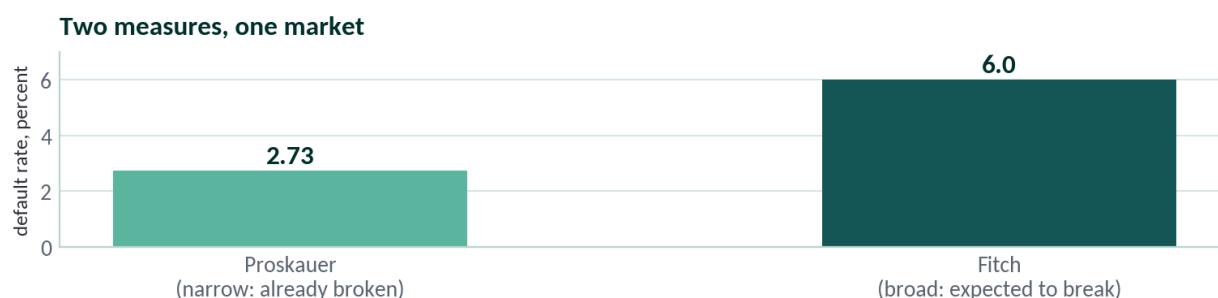
Why it matters: leverage on new buyouts is back near 5.2 times, similar to 2021 despite far higher rates, and entry multiples sit above 13 times EBITDA. The vintage now being tested was underwritten for a world that no longer exists.

03

Default rates and DPI ratios

Start with the puzzle that trips up most commentary. Two respected indices put the default rate at 2.73 percent and at 6.0 percent. Both are right.

The gap is a definition, not an error. Proskauer tracks actual payment and covenant defaults across a fixed pool of direct lender loans, and reads 2.73 percent for the first quarter of 2026, up from 1.84 percent a year earlier. Fitch is broader, blending a model implied view with privately monitored ratings, and reached a record 6.0 percent in April. The narrow number tells you what has already broken; the wider one tells you what the market expects to break. Reading only one is how investors get surprised.



HIGH STRESS

Consumer products

The weakest corner. Sector default rate up from about 11 percent in December 2025 toward roughly 13 percent, as 2025 discretionary demand softened.

ELEVATED

Healthcare services

The largest number of unique defaulters over the past year. Tighter eligibility under Medicaid changes pressures weaker operators.

RESILIENT

Technology and software

Low headline defaults, but marks on software loans are falling fastest as artificial intelligence disruption hits smaller borrowers.

The DPI angle: distributions to paid-in capital have stayed low across recent direct lending vintages, as managers hold assets longer in a slow exit market. With natural cash returns muted, more investors are leaning on the quarterly redemption window instead of waiting for capital to come back, which is part of why the liquidity pressure in section five has built up.

WHERE THE RATINGS ARE GOING

Downgrades ran 3.3 times upgrades in early 2026, and downgrade volume is up about 50 percent on the year. More telling, 42 percent of 2026 downgrades pushed borrowers from single B into CCC and lower, the doorway to default, while most of the upgrades were defaulted names being re-rated back up from D, not businesses getting healthier. The direction of travel is worse than the default count alone suggests.

04

What the headline default rate hides

Three mechanisms are quietly deferring, understating or mispricing stress. This is where the analysis has to go beyond the default rate.

1 RECOVERIES UNPROVEN 48 to 64 Cents on the dollar Estimates conflict and private credit has never been through a full default cycle. Assume wide uncertainty, not the benign 2024 print.	2 PAYMENT IN KIND 4 Percent of income With non accruals near 1.4 percent and rising, reported income looks healthy while cash coverage erodes. The classic late cycle tell.	3 AMEND AND EXTEND 8 to 12 Percent, NAVs high Extensions defer the mark. When amendments age out, valuations reset to recovery value and dividend cuts tend to follow.
---	---	--

The price of risk has moved the wrong way

Against all of this, spreads have compressed rather than widened. Core mid market unitranche pricing has tightened to around SOFR plus 450 basis points, with original issue discounts near zero, while buyout leverage sits near 5.2 times and entry multiples above 13 times EBITDA. On an 8 to 10 percent historical return, that leaves very little margin for error. In plain terms, lenders are being paid less to take more risk, which is the opposite of what a rising default environment should produce.

The other side of the trade:

the picture is not one directional. As base rates ease, interest coverage has improved off its 2024 lows, structural protections in rated deals are holding, and workout capability among established lenders is real. The bear case is about the weakest quartile and the worst vintages, not the whole asset class.

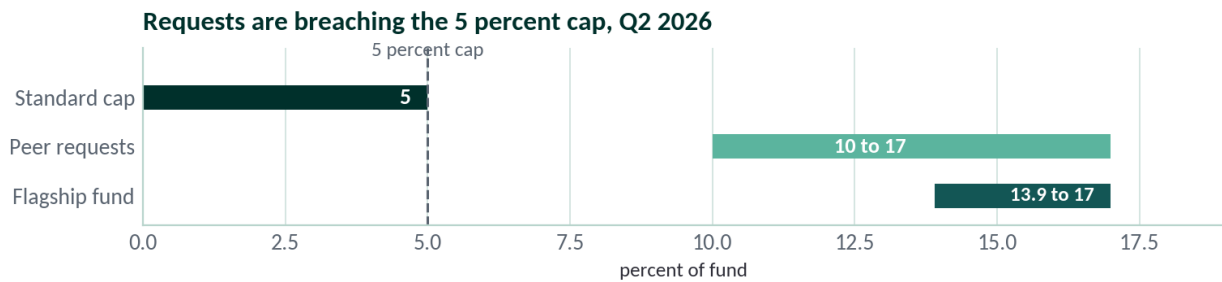
05

Semi liquid fund redemptions

The clearest sign of stress is not in the loan book. It is in the queue of investors trying to get out of semi liquid funds.

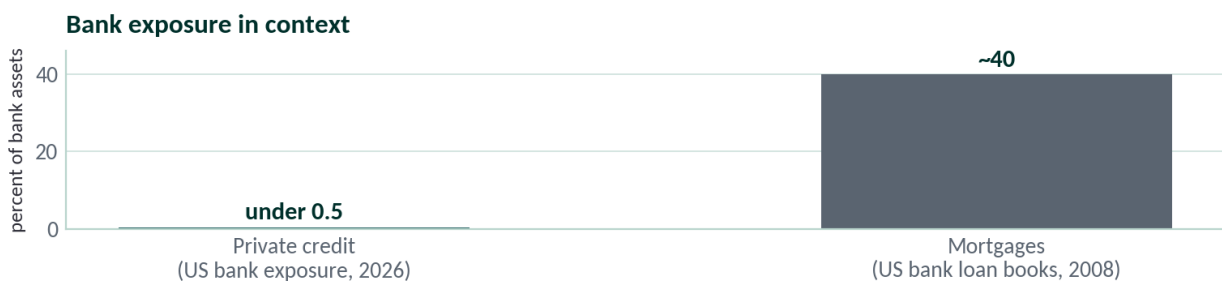
5 PERCENT Standard quarterly cap The typical limit on how much of a non traded fund investors can redeem in a quarter.	10 to 17 PERCENT Peer requests, Q2 2026 Redemption requests across large non traded funds, well above the cap.	13.9 to 17 PERCENT One flagship fund Requests at a 31 billion dollar interval fund rose from Q1 to Q2 2026, forcing its cap down to 5 percent.	1 FUND BELOW CAP The exception Among large semi liquid vehicles, only one major manager stayed inside the cap for the quarter.
--	--	--	--

This is an asset and liability mismatch in plain sight. Semi liquid wrappers promise quarterly liquidity against loans that do not trade. When requests run to three times the cap, funds gate: they fill part of each request and roll the rest forward. That prevents fire sales, but it locks in capital and signals stress. The reflexive part is the danger: once one fund gates, investors treat every semi liquid vehicle as similarly exposed and pull their own money pre emptively, turning a sentiment scare into a self reinforcing one.



Is this systemic?

The question every risk committee is asking. Our answer is contained, but worth watching at the counterparty seam. Bank exposure is indirect, senior and small: United States banks have extended roughly 300 billion dollars to private credit funds, business development companies and collateralised loan obligations, typically at around 50 percent advance rates, and the identifiable exposure is under half a percent of total bank assets. For scale, mortgages were about 40 percent of bank loan books going into the 2008 crisis. This is not that. But regulators are watching: the Financial Stability Board and the Office of Financial Research both published on private credit vulnerabilities in 2026, and one large bank disclosed 30 billion dollars of exposure in March. The risk is not a direct hit to banks; it is that borrowing and interconnection could amplify a shakeout if defaults keep climbing.

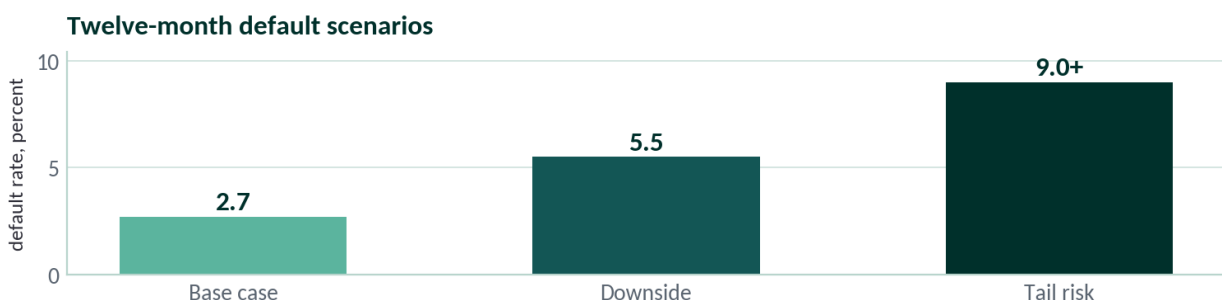


06

Stress scenario analysis

A twelve month frame with the drivers that move it, followed by the specific signals we track.

BASE CASE	DOWNSIDE	TAIL RISK
2.7 Percent, roughly 2.5 to 3 Rates ease, growth holds near 1.5 percent, and amend and extend keeps defaults gradual. Repricing continues, no systemic event.	5.5 Percent, roughly 5 to 6 Rates stay high, growth slips, covenant lite delays crystallise into restructurings, and gating widens. Fitch's current level becomes the norm.	9.0+ Percent, hard landing A hard landing and credit freeze. Monitored defaults spike, recoveries print below 45 cents, forced marks depress values, and stress spreads across sectors.



Risk amplifier	Base case	Downside	Tail risk
Interest coverage	Weaker but manageable	Significant stress	Cash coverage fails after payment in kind
Recoveries	Near recent prints	Drift toward 50 cents	Below 45 cents on the dollar
Payment in kind masking	Some delay	Rising usage hurts cash metrics	Heavy masking of real defaults
Redemptions and gating	Near the cap	Above caps, gating widens	Severe gating, extended lockups
Sector stress	Isolated, consumer and healthcare	Broader sector weakness	Systemic across sectors

The YD watch list

The five signals we would act on, in order of what moves first.

- 1 Downgrade to upgrade ratio above 4 times**
 Migration accelerating toward default, beyond the current 3.3 times.
- 2 Non accruals above 2 percent and payment in kind above 6 percent of income**
 The point where cash stress can no longer be masked by non cash income.
- 3 Recovery prints below 45 cents on the dollar**
 The benign 2024 recovery assumption breaking in real workouts.
- 4 Redemption requests above twice the cap for three quarters or more**
 A liquidity scare turning into a structural problem rather than a spike.
- 5 Banks pulling back net asset value and subscription line financing**
 The interconnection channel tightening, which would turn a slow shakeout faster.

07

Conclusion

Private credit in mid 2026 is a nuanced risk environment, not a broken one. Headline default measures have climbed and diverged, ratings are migrating down faster than the default count implies, and certain sectors, consumer products and parts of healthcare in particular, carry real strain. Technology and other higher quality segments remain comparatively resilient, which is the point: risk in this cycle is unevenly distributed, and the average number hides more than it shows.

Liquidity is the pressure that has moved fastest. Gating and capped redemptions have done their job in preventing forced sales, but they have also exposed the mismatch at the heart of the semi liquid wrapper. Meanwhile the mechanics that make the picture look calmer, payment in kind income, amend and extend, and unproven recovery assumptions, are exactly the ones that defer stress rather than remove it. Set against spreads that have compressed to levels that no longer pay for the risk, that is a market to underwrite carefully rather than to avoid or to chase.

IN ONE LINE

Private credit is being repriced for risk for the first time, not breaking. The asset class is sound; the weakest vintages, thinnest structures and most illiquid wrappers are not. Stay senior, price liquidity as carefully as the coupon, and watch the five signals in section six. That is the whole game from here. Happy to talk it through.

Glossary

The terms used in this briefing, in plain language.

Term	Definition
Covenant lite	A loan with few maintenance covenants, so the lender has fewer early rights to act when a borrower weakens.
Gating	A limit a fund places on redemptions in a period, filling part of each request and rolling the rest forward, to prevent forced selling.
Payment in kind	Interest paid by adding to the loan balance instead of in cash, which can delay when credit stress shows up in reported numbers.
PCDR and PMR	Fitch measures. The Private Credit Default Rate is a composite of model based and monitored defaults; the Privately Monitored Rating component tracks the monitored book.
Semi liquid fund	A fund offering partial liquidity, usually a capped share of assets each quarter, against loans that do not trade.
Business development company	A vehicle that lends to small and mid sized businesses, often through debt, and can be traded or non traded.
DPI	Distributions to paid-in capital. How much cash a fund has returned to investors relative to what they put in.
Loss given default	The share of a loan not recovered after a default. A 40 percent loss given default implies a 60 percent recovery.
Amend and extend	Changing a loan's terms and pushing out its maturity, often to avoid a near term default, which can defer rather than resolve stress.
Unitranche	A single blended loan combining senior and subordinated debt into one facility at one rate, common in direct lending.



Dubai

Level 41, Emirates Tower, DIFC, Dubai, UAE
yashaswi.das@ydadvisory.ae

Singapore

Level 24, CapitaGreen, 138 Market Street,
 Singapore 048946, www.ydadvisory.ae